

Properties of Conditional Expectation

Assume that $\mathcal{F}$ and $\mathcal{G}$ are σ -fields, and that X and Y are random variables.

1. $E(E(X|\mathcal{F})|\mathcal{G}) = E(X|\mathcal{F})$ if $\mathcal{F} \subseteq \mathcal{G}$

2. $E(E(X|\mathcal{G})|\mathcal{F}) = E(X|\mathcal{F})$ if $\mathcal{F} \subseteq \mathcal{G}$

3. $E(E(X|\mathcal{G})) = E(X)$

Like ② with $\mathcal{G} = \{\emptyset, \Omega\}$

$$E(E(X|\mathcal{G})) = E(X)$$

4. If X is $\mathcal{F}$ -measurable, then $E(X|\mathcal{F}) = X$

5. If X is $\mathcal{F}$ -measurable, then $E(XY|\mathcal{F}) = XE(Y|\mathcal{F})$

6. $E(X + Y|\mathcal{F}) = E(X|\mathcal{F}) + E(Y|\mathcal{F})$ (under technical conditions)

7. $E(cX + d|\mathcal{F}) = cE(X|\mathcal{F}) + d$ for scalars c and d

8. If $X \leq Y$, then $E(X|\mathcal{F}) \leq E(Y|\mathcal{F})$

" $X \leq Y$ " $\Rightarrow X(\omega) \leq Y(\omega)$ for all ω

9. If ϕ is convex, then $E(\phi(X)|\mathcal{F}) \geq \phi(E(X|\mathcal{F}))$

A Final Definition: We say that $\mathcal{F}$ and $\mathcal{G}$ are **independent** if for any $A \in \mathcal{F}$ and $B \in \mathcal{G}$, it holds that $P(A \cap B) = P(A)P(B)$.

So, when we say that X and Y are independent, from a measure-theoretic standpoint we mean that $\sigma(X)$ and $\sigma(Y)$ are independent.

Part 5: Moment Generating Functions

Suppose random variable X has some univariate distribution, discrete or continuous.

We define $E(X)$, $E(X^2)$, $E(X^3)$, $\dots$ to be the **moments of the distribution of X** . As we've already seen, $E(X^k)$ can be finite, infinite, or not exist.

The **moment generating function (MGF)** of X is

$$\underline{M_X(t)} = \underline{E(e^{tX})}.$$

Note that it is a function of t .

The MGF is simply the expected value of some function of X , and hence can be found using the Rule for the Lazy Statistician.

Exercise: Derive the MGF for the Poisson(λ) distribution.

$$X \sim \text{Poisson}(\lambda)$$

$$M_X(t) = E(e^{tx})$$

$$= \sum_{k=0}^{\infty} e^{tk} \frac{e^{-\lambda} \lambda^k}{k!} \quad \text{Rule for Lazy Stat.}$$

$$= e^{-\lambda} \sum_{k=0}^{\infty} \frac{(\lambda e^t)^k}{k!}$$

$$= e^{-\lambda} e^{\lambda e^t}$$

$$= e^{\lambda(e^t - 1)}$$

$$= e$$

$$e^a = \sum_{i=0}^{\infty} \frac{a^i}{i!}$$

Exercise: Derive the MGF for the Exponential(λ) distribution.

$$M_X(t) = \frac{\lambda}{\lambda - t} \quad t < \lambda$$



Name	Density/Mass Function	MGF	Mean	Variance
Normal	$\frac{1}{\sqrt{2\pi\sigma^2}} \exp\left(-\frac{(x-\mu)^2}{2\sigma^2}\right),$ $-\infty < x < \infty, \sigma > 0$	$\exp\left(\mu t + \frac{\sigma^2 t^2}{2}\right)$	μ	σ^2
Log-Normal	$\frac{1}{x\sqrt{2\pi\sigma^2}} \exp\left(-\frac{(\log(x)-\mu)^2}{2\sigma^2}\right),$ $0 < x < \infty, \sigma > 0$	—	$\exp\left(\mu + \frac{\sigma^2}{2}\right)$	$e^{2(\mu+\sigma^2)} - e^{2\mu+\sigma^2}$
Gamma	$\frac{\beta^\alpha}{\Gamma(\alpha)} x^{\alpha-1} e^{-\beta x},$ $0 < x < \infty, \alpha, \beta > 0$	$\left(\frac{\beta}{\beta-t}\right)^\alpha, t < \beta$	$\frac{\alpha}{\beta}$	$\frac{\alpha}{\beta^2}$
Exponential	$\beta e^{-\beta x},$ $0 < x < \infty, \beta > 0$	$\frac{\beta}{\beta-t}, t < \beta$	$\frac{1}{\beta}$	$\frac{1}{\beta^2}$
Beta	$\frac{\Gamma(\alpha+\beta)}{\Gamma(\alpha)\Gamma(\beta)} x^{\alpha-1} (1-x)^{\beta-1},$ $0 < x < 1, \alpha, \beta > 0$	$1 + \sum_{k=1}^{\infty} \left(\prod_{r=0}^{k-1} \frac{\alpha+r}{\alpha+\beta+r}\right) \frac{t^k}{k!}$	$\frac{\alpha}{\alpha+\beta}$	$\frac{\alpha\beta}{(\alpha+\beta)^2(\alpha+\beta+1)}$
Uniform (continuous)	$\frac{1}{b-a},$ $a \leq x \leq b$	$\frac{e^{bt}-e^{at}}{t(b-a)}, t \neq 0$ $1, t = 0$	$\frac{b+a}{2}$	$\frac{(b-a)^2}{12}$
Bernoulli	$p^x (1-p)^{1-x},$ $x = 0, 1, 0 \leq p \leq 1$	$pe^t + (1-p)$	p	$p(1-p)$
Binomial	$\binom{n}{x} p^x (1-p)^{n-x},$ $x = 0, 1, \dots, n, 0 \leq p \leq 1$	$[pe^t + (1-p)]^n$	np	$np(1-p)$
Negative Binomial	$\binom{r+x-1}{x} p^r (1-p)^x,$ $x = 0, 1, \dots, r \in \{1, 2, \dots\}, 0 \leq p \leq 1$	$\left(\frac{p}{1-(1-p)e^t}\right)^r, t < \log(1/(1-p))$	$\frac{r(1-p)}{p}$	$\frac{r(1-p)}{p^2}$
Geometric	$(1-p)^x p,$ $x = 0, 1, \dots, 0 \leq p \leq 1$	$\frac{p}{1-(1-p)e^t}, t < \log(1/(1-p))$	$\frac{1-p}{p}$	$\frac{(1-p)}{p^2}$
Poisson	$\frac{e^{-\lambda} \lambda^x}{x!},$ $x = 0, 1, \dots, \lambda > 0$	$e^{\lambda(e^t-1)}$	λ	λ
Hypergeometric	$\frac{\binom{A}{x} \binom{B}{n-x}}{\binom{A+B}{n}},$ $x = 0, 1, \dots, n$	—	$\frac{nA}{A+B}$	$\frac{nAB(A+B-n)}{(A+B)^2(A+B+1)}$

Using the MGF

1. Calculating Moments

Successive derivatives of the MGF, evaluated at $t = 0$, return the moments of the random variable:

$$E(X^k) = \left. \frac{\partial^k}{\partial t^k} M_X(t) \right|_{t=0}$$

Exercise: Why does this work? Sketch it out in the continuous case.

$$\frac{\partial^k}{\partial t^k} M_X(t) = \frac{\partial^k}{\partial t^k} \int_{-\infty}^{\infty} e^{tx} f_X(x) dx$$

$$= \int_{-\infty}^{\infty} \frac{\partial^k}{\partial t^k} e^{tx} f_X(x) dx \quad (\text{usually})$$

$$= \int_{-\infty}^{\infty} x^k e^{tx} f_X(x) dx$$

plus in $t=0$,

$$= \int_{-\infty}^{\infty} x^k f_X(x) dx = E(X^k)$$

Exercise: Find the moments of the Poisson(λ) distribution.

$$X \sim \text{Poisson}(\lambda)$$

$$M_X(t) = e^{\lambda(e^t - 1)}$$

$$\frac{d}{dt} M_X(t) = e^{\lambda(e^t - 1)} \lambda e^t$$

$$\text{plug in } t=0: E(X) = \lambda$$

$$\frac{d^2}{dt^2} M_X(t) = \frac{d}{dt} e^{\lambda(e^t - 1)} \lambda e^t$$

$$\text{plug in } t=0, E(X^2) = \lambda^2 + \lambda$$

Recall that $E(X^2) = V(X) + E(X)^2$

2. Uniqueness of the MGF

The uniqueness result is the following: If $M_X(t) = M_Y(t)$ for all t , then X and Y have the same distribution.

It is interesting to note that two random variables can have matching moments, i.e., $E(X^k) = E(Y^k)$ for $k = 1, 2, \dots$, but X and Y have different distributions.

Exercise: Suppose that X has the $\text{Exponential}(\lambda)$ distribution, and $k > 0$ is some constant. Does kX have an Exponential distribution?

$$M_X(t) = \frac{\lambda}{\lambda - t} \quad \bullet \quad \text{Let } Y = kX$$

$$M_Y(t) = E(e^{tY}) = E(e^{tkX})$$

$$= M_X(tk) = \frac{\lambda}{\lambda - tk} = \frac{\lambda/k}{\lambda/k - t}$$

matches the MGF of $\text{Exponential}(\lambda/k)$

Hence, $Y \sim \text{Exponential}(\lambda/k)$

Exercise: Suppose that the number of events during an interval of length one time unit is a random variable X which has the $\text{Poisson}(\lambda)$ distribution. For each of these events, there is probability p that it is of "Type I." The determination of whether or not an event is of "Type I" is independent from event to event. Let Y denote the number of "Type I" events during the time interval. Show that Y has the Poisson distribution.

We know $X \sim \text{Poisson}(\lambda)$, $Y|X \sim \text{binomial}(X, p)$

$$M_Y(t) = E(e^{tY})$$

$$\begin{aligned} E(Z) &= E(E(Z|X)) = E(E(e^{tY} | X)) && \text{Using iterated conditioning} \\ &= E((pe^t + (1-p))^X) && \text{a RV} \\ &= \sum_{k=0}^{\infty} (pe^t + (1-p))^k \frac{e^{-\lambda} \lambda^k}{k!} && \text{Rule for Lazy Stat.} \\ &= e^{-\lambda} \sum_{k=0}^{\infty} \frac{(\lambda(pe^t + (1-p)))^k}{k!} \\ &= e^{-\lambda} e^{\lambda(pe^t + (1-p))} \\ &= e^{\lambda p(e^t - 1)} \end{aligned}$$

matches MGF for $\text{Poisson}(\lambda p)$

So, $Y \sim \text{Poisson}(\lambda p)$

3. Sums of Independent Random Variables

Suppose that $X_1, X_2, \dots, X_n$ are independent random variables, and

let $Y = \sum_i X_i$. Then,

$$Y(\omega) = X_1(\omega) + X_2(\omega) + \dots + X_n(\omega)$$

$$M_Y(t) = \prod_{i=1}^n M_{X_i}(t)$$

for all t such that all $M_{X_i}(t)$ is finite.

Exercise: Prove the above result.

$$M_Y(t) = E(e^{tY})$$

$$= E(e^{t \sum X_i})$$

$$= E(e^{tX_1} e^{tX_2} \dots e^{tX_n})$$

$$= \prod_{i=1}^n E(e^{tX_i}) \quad \text{Since } X_1, X_2, \dots, X_n \text{ are independent}$$

$$= \prod_{i=1}^n M_{X_i}(t)$$

Exercise: Show that the sum of independent Poisson random variables also has the Poisson distribution.

$$X_i \sim \text{Poisson}(\lambda_i) \quad i=1,2 \quad \text{independent}$$

$$Y = X_1 + X_2$$

$$M_Y(t) = M_{X_1}(t) M_{X_2}(t) = e^{(\lambda_1 + \lambda_2)(e^t - 1)}$$

This is MGF for $\text{Poisson}(\lambda_1 + \lambda_2)$

$$\text{So, } Y \sim \text{Poisson}(\lambda_1 + \lambda_2)$$

Exercise: Under what condition(s) does the sum of Gamma random variables still have a Gamma distribution?

$$X_i \sim \text{Gamma}(\alpha_i, \beta_i), \quad i=1,2,\dots,n$$

$$M_{X_i}(t) = \left(\frac{\beta_i}{\beta_i - t} \right)^{\alpha_i}, \quad t < \beta_i$$

Assume $X_1, X_2, \dots, X_n$ are independent. $Y = \sum X_i$

$$M_Y(t) = \prod_{i=1}^n \left(\frac{\beta_i}{\beta_i - t} \right)^{\alpha_i}$$

In order for this to remain Gamma

need $\beta_1 = \beta_2 = \dots = \beta_n = \beta$. Then

$$M_Y(t) = \prod_{i=1}^n \left(\frac{\beta_i}{\beta_i - t} \right)^{\alpha_i} = \left(\frac{\beta}{\beta - t} \right)^{\sum \alpha_i}$$

$$\text{Hence, } Y \sim \text{Gamma}(\sum \alpha_i, \beta)$$

Exercise: Prove the following properties of the Gamma distribution.

1. If $X_1, X_2, \dots, X_n$ are iid Exponential(λ) random variables, the $\sum_i X_i$ is Gamma(n, λ).
2. If X has the Gamma(α, β) distribution and $k > 0$, then kX is Gamma($\alpha, \beta/k$).

① A direct result of previous
 $X_i \sim \text{Gamma}(1, \lambda)$

② Let $Y = kX$

$$M_Y(t) = E(e^{tY})$$

$$= E(e^{tkX})$$

$$= M_X(tk)$$

$$= \left(\frac{\beta/k}{\beta/k - t} \right)^\alpha$$

Hence, $Y \sim \text{Gamma}(\alpha, \beta/k)$

4. Establishing Convergence in Distribution

In some situations it will be important to formalize the notion of “the distribution of $X_1, X_2, \dots$ converges to the distribution of X .”

In such cases, we would write $X_n \xrightarrow{D} X$, and say that “ X_n converges in distribution to X .”

Does not mean $X_n(\omega) \rightarrow X(\omega)$ for all ω
also does not mean $P(X_n \rightarrow X) = 1$

The formal definition is as follows: X_n **converges in distribution** to X if $F_{X_n}(x) \rightarrow F_X(x)$ as $n \rightarrow \infty$ at all x where F_X is continuous.

In practical terms, the value of knowing $X_n \xrightarrow{D} X$ is that (for large n), the distribution of X can be taken as an approximation to the distribution of X_n . The **central limit theorem** is an important example.

The useful result: $X_n \xrightarrow{D} X$ if $M_{X_n}(t) \rightarrow M_X(t)$ as $n \rightarrow \infty$ for all $-\epsilon < t < \epsilon$ for some $\epsilon > 0$.

Exercise: Suppose that X equals zero with probability one and X_n equals $1/n$ with probability one. Does $X_n \xrightarrow{D} X$?

Heuristically, it seems that the dist. of X_n is "getting closer to" the dist. of X .

$$F_X(x) = \begin{cases} 1, & x \geq 0 \\ 0, & x < 0 \end{cases}$$

$$F_{X_n}(x) = \begin{cases} 1, & x \geq 1/n \\ 0, & x < 1/n \end{cases}$$

$$0 = F_{X_n}(0) \not\rightarrow F_X(0) = 1$$

Note that the CDF for X is not continuous at 0 , hence do not need $F_{X_n}(0) \rightarrow F_X(0)$ to claim $X_n \xrightarrow{D} X$

For any other x , $F_{X_n}(x) \rightarrow F_X(x)$

So, $X_n \xrightarrow{D} X$

1 **Exercise:** Suppose that X_n has the Binomial($n, \lambda/n$) distribution for
2 $\lambda > 0$. Let X have the Poisson(λ) distribution. Show that $X_n \xrightarrow{D} X$.

3
$$M_{X_n}(t) = \left(1 - \frac{\lambda}{n} + \frac{\lambda}{n} e^t\right)^n$$

4
5
$$= \left(1 + \frac{\lambda(e^t - 1)}{n}\right)^n$$

6

7
8
$$\lim_{n \rightarrow \infty} M_{X_n}(t) = \lim_{n \rightarrow \infty} \left(1 + \frac{\lambda(e^t - 1)}{n}\right)^n$$

9
10
$$= e^{\lambda(e^t - 1)}$$

11
12
$$= M_X(t)$$

13

14
15 So, $X_n \xrightarrow{D} X$
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The Normal Distribution and the MGF

If X has the normal(μ, σ^2) distribution (with pdf given previously in the notes), then

$$M_X(t) = e^{t\mu + t^2\sigma^2/2}, \quad -\infty < t < \infty$$

$$M_Z(t) = e^{t^2/2} \quad \text{when } Z \sim N(0, 1)$$

The following properties of the normal(μ, σ^2) distribution are easy to prove once we know the MGF and its properties:

1. $E(X) = \mu$

2. $E(X^2) = \mu^2 + \sigma^2$, and hence $V(X) = \sigma^2$

3. If $Y = aX + b$, with $a \neq 0$, then $Y \sim N(a\mu + b, a^2\sigma^2)$.

4. The linear combination of independent normal random variables also has the normal distribution. In particular,

(a) If $X_1, X_2, \dots, X_n$ are i.i.d. $N(\mu, \sigma^2)$, then $\sum_i X_i \sim N(n\mu, n\sigma^2)$.

(b) If $X_1, X_2, \dots, X_n$ are i.i.d. $N(\mu, \sigma^2)$, then $\bar{X} \sim N(\mu, \sigma^2/n)$.

5. The Central Limit Theorem: Suppose $X_1, X_2, \dots$ are i.i.d. and $E(X_i) = \mu$ and $V(X_i) = \sigma^2$ both exist and are finite, then

$$\frac{\bar{X}_n - \mu}{\sigma/\sqrt{n}} \xrightarrow{D} Z$$

where $\bar{X}_n = \sum_{i=1}^n X_i/n$ and $Z \sim N(0, 1)$.



From DeGroot and Schervish,
Fourth Ed.

and

$$\begin{aligned}\sum_{i=1}^{99} p_i(1-p_i) &= \frac{1}{100} \sum_{i=1}^{99} i - \frac{1}{(100)^2} \sum_{i=1}^{99} i^2 \\ &= 49.5 - \frac{1}{(100)^2} \cdot \frac{(99)(100)(199)}{6} = 16.665.\end{aligned}$$

It follows from the central limit theorem that the distribution of the total number of questions that are answered correctly, which is $\sum_{i=1}^{99} X_i$, will be approximately the normal distribution with mean 49.5 and standard deviation $(16.665)^{1/2} = 4.08$. Therefore, the distribution of the variable

$$Z = \frac{\sum_{i=1}^n X_i - 49.5}{4.08}$$

will be approximately the standard normal distribution. It follows that

$$\Pr\left(\sum_{i=1}^n X_i \geq 60\right) = \Pr(Z \geq 2.5735) \simeq 1 - \Phi(2.5735) = 0.0050.$$

Outline of Proof of Central Limit Theorem

Convergence of the Moment Generating Functions Moment generating functions are important in the study of convergence in distribution because of the following theorem, the proof of which is too advanced to be presented here.

Theorem 6.3.5

Let $X_1, X_2, \dots$ be a sequence of random variables. For $n = 1, 2, \dots$, let F_n denote the c.d.f. of X_n , and let ψ_n denote the m.g.f. of X_n .

Also, let X^* denote another random variable with c.d.f. F^* and m.g.f. ψ^* . Suppose that the m.g.f.'s ψ_n and ψ^* exist ($n = 1, 2, \dots$). If $\lim_{n \rightarrow \infty} \psi_n(t) = \psi^*(t)$ for all values of t in some interval around the point $t = 0$, then the sequence $X_1, X_2, \dots$ converges in distribution to X^* . ■

In other words, the sequence of c.d.f.'s $F_1, F_2, \dots$ must converge to the c.d.f. F^* if the corresponding sequence of m.g.f.'s $\psi_1, \psi_2, \dots$ converges to the m.g.f. ψ^* .

Outline of the Proof of Theorem 5.7.1 We are now ready to outline a proof of Theorem 6.3.1, which is the central limit theorem of Lindeberg and Lévy. We shall assume that the variables $X_1, \dots, X_n$ form a random sample of size n from a distribution with mean μ and variance σ^2 . We shall also assume, for convenience, that the m.g.f. of this distribution exists, although the central limit theorem is true even without this assumption.

For $i = 1, \dots, n$, let $Y_i = (X_i - \mu)/\sigma$. Then the random variables $Y_1, \dots, Y_n$ are i.i.d., and each has mean 0 and variance 1. Furthermore, let

$$Z_n = \frac{n^{1/2}(\bar{X}_n - \mu)}{\sigma} = \frac{1}{n^{1/2}} \sum_{i=1}^n Y_i.$$

We shall show that Z_n converges in distribution to a random variable having the standard normal distribution, as indicated in Eq. (6.3.1), by showing that the m.g.f. of Z_n converges to the m.g.f. of the standard normal distribution.

If $\psi(t)$ denotes the m.g.f. of each random variable Y_i ($i = 1, \dots, n$), then it follows from Theorem 4.4.4 that the m.g.f. of the sum $\sum_{i=1}^n Y_i$ will be $[\psi(t)]^n$. Also, it follows from Theorem 4.4.3 that the m.g.f. $\zeta_n(t)$ of Z_n will be

$$\zeta_n(t) = \left[\psi\left(\frac{t}{n^{1/2}}\right) \right]^n.$$

In this problem, $\psi'(0) = E(Y_i) = 0$ and $\psi''(0) = E(Y_i^2) = 1$. Therefore, the Taylor series expansion of $\psi(t)$ about the point $t = 0$ has the following form:

$$\begin{aligned} \psi(t) &= \psi(0) + t\psi'(0) + \frac{t^2}{2!}\psi''(0) + \frac{t^3}{3!}\psi'''(0) + \dots \\ &= 1 + \frac{t^2}{2} + \frac{t^3}{3!}\psi'''(0) + \dots \end{aligned}$$

Also,

$$\zeta_n(t) = \left[1 + \frac{t^2}{2n} + \frac{t^3\psi'''(0)}{3!n^{3/2}} + \dots \right]^n. \quad (6.3.15)$$

Apply Theorem 5.3.3 with $1 + a_n/n$ equal to the expression inside brackets in (6.3.15) and $c_n = n$. Since

$$\lim_{n \rightarrow \infty} \left[\frac{t^2}{2} + \frac{t^3\psi'''(0)}{3!n^{1/2}} + \dots \right] = \frac{t^2}{2},$$

it follows that

$$\lim_{n \rightarrow \infty} \zeta_n(t) = \exp\left(\frac{1}{2}t^2\right). \quad (6.3.16)$$

Since the right side of Eq. (6.3.16) is the m.g.f. of the standard normal distribution, it follows from Theorem 6.3.5 that the asymptotic distribution of Z_n must be the standard normal distribution.

An outline of the proof of the central limit theorem of Liapounov can also be given by proceeding along similar lines, but we shall not consider this problem further here.

Summary

Two versions of the central limit theorem were given. They conclude that the distribution of the average of a large number of independent random variables is close to a normal distribution. One theorem requires that the random variables all have the same distribution with finite variance. The other theorem does not require that the random variables be identically distributed, but instead requires that their third moments exist and satisfy condition (6.3.9). The delta method lets us find the approximate distribution of a smooth function of a sample average.

Exercise: What is the practical value of the CLT?

When n is "large", $\bar{X}_n \approx N(\mu, \sigma^2/n)$

Also, $\sum_{i=1}^n X_i = n\bar{X}_n \approx N(n\mu, n\sigma^2)$

Exercise: Let $X_1, X_2, \dots, X_n$ be i.i.d. random variables, each with the Exponential(1) distribution. What is the distribution of $\bar{X}$?

$$E(X_i) = 1 = \mu \quad V(X_i) = 1 = \sigma^2$$

$$\sum_{i=1}^n X_i \sim \text{Gamma}(n, 1)$$

$$\bar{X} = \frac{\sum X_i}{n} \sim \text{Gamma}(n, n)$$

The CLT says that

$$\bar{X} \approx N(\mu, \sigma^2/n) = N(1, 1/n)$$

for n "large"

Exercise: Suppose that on any day the price of a particular stock either increases by 2% (with probability 0.5) or decreases by 1% (with probability 0.5). Each day's change is independent of the other days. What is the probability that the stock's price is more than twice its current price 100 trading days from now?

Let $P_{100} = X_1 X_2 \cdots X_{100}$ where X_i are such that
$$X_i = \begin{cases} 1.02, & \text{w.p. } 0.5 \\ 0.99, & \text{w.p. } 0.5 \end{cases}$$

Then P_{100} = return after 100 days
 $\{\text{stock price doubles after 100 days}\}$
 $= \{P_{100} \geq 2\}$

$$\log P_{100} = \sum_{i=1}^{100} \log X_i = \sum_{i=1}^{100} Y_i$$

$$\text{where } Y_i = \begin{cases} \log(1.02), & \text{w.p. } 0.5 \\ \log(0.99), & \text{w.p. } 0.5 \end{cases}$$

$$\begin{aligned} \mu = E(Y_i) &= \log(1.02)(0.5) + \log(0.99)(0.5) \\ &= 0.00488 \end{aligned}$$

$$\sigma^2 = E(Y_i^2) - E(Y_i)^2 = 0.000223$$

CLT says that $\sum_{i=1}^{100} Y_i \approx N(n\mu, n\sigma^2)$
 $n=100$

$$P(P_{100} \geq 2) = P(\log P_{100} \geq \log 2)$$

$$= P\left(\sum_{i=1}^{100} Y_i \geq \log 2\right)$$

$$\approx P(U \geq \log 2)$$

$$\text{where } U \sim \text{Normal}(n\mu, n\sigma^2)$$

$$\text{Or: } = P\left(\frac{U - n\mu}{\sqrt{n}\sigma} \geq \frac{\log 2 - n\mu}{\sqrt{n}\sigma}\right)$$

$$= P\left(Z \geq \frac{\log 2 - n\mu}{\sqrt{n}\sigma}\right)$$

$$= 1 - \Phi\left(\frac{\log 2 - n\mu}{\sqrt{n}\sigma}\right)$$

$$= 1 - \Phi(1.37)$$

$$= 0.08$$

standard normal CDF

1 **Exercise:** A fair coin is tossed 1000 times. What is the probability that
2 the number of heads is between 475 and 525?

3 $X = \# \text{ of heads}, X \sim \text{binomial}(1000, 0.5)$

4 Or: $X = \sum_{i=1}^{1000} U_i$ where $U_i = \begin{cases} 1, & \text{w.p. } 0.5 \\ 0, & \text{w.p. } 0.5 \end{cases}$

6 By CLT, $X \approx N(500, 250)$

